The Legal Side of Planning Ahead for Dad

What each kind of document is, in general terms, and what to ask about it.

Will, trust, power of attorney, health care directive. Dad may have signed some of these years ago, and you've never been quite sure how one differs from another.

This guide says, in general terms and from public sources, what each kind of paper is, and what a family can write down and ask about it. It explains. It doesn't read Dad's papers, and nothing in it is specific to any state.

There's time, and Dad can take part in all of it. He can tell you what he signed, where it is and what he wants.

Powers of attorney: a paper that names someone to act

A power of attorney is a legal document that allows someone else to act on your behalf. The Consumer Financial Protection Bureau describes it as a way to choose a trusted person, called an agent, to act for you when you cannot. [1]

The person who makes the document is called the principal. The document may also name a successor agent, who acts if the first agent is not able to. The bureau's guide for agents says a person who has signed a power of attorney can still manage their own money and property as long as they are able to make decisions, and, while still able to decide, can take the agent's authority away if they want to. [2]

The same guide says an agent's authority is strictly limited to what the document and state law allow. That is why the actual paper matters, and why reading it for what it permits is an attorney's work. [2]

- Write down: whether Dad has one, the date he signed it, who it names as agent and as successor, and where the original is kept.
- Ask an elder law attorney: whether the document remains appropriate, and whether it contains authority that may be important for future long-term-care planning.

Health care papers: advance directives

Advance directives are legal documents that allow a person to spell out decisions about end-of-life care ahead of time. MedlinePlus, from the National Library of Medicine, says they give a person a way to tell their wishes to family, friends and health care professionals, and to avoid confusion later on. [3]

MedlinePlus describes two kinds. A living will says which medical treatments a person would want, or not want, at the end of life. A durable power of attorney for health care names a health care proxy: someone the person trusts to make health decisions if they are unable to. [3]

These are separate from the financial paper. The Consumer Financial Protection Bureau puts the difference in two lines: a power of attorney gives someone authority to make decisions about money or property, and a health care power of attorney gives authority to make health care decisions. [4]

- Write down: which health care papers Dad has signed, when, who is named, and who holds copies.
- Ask Dad: what he wants the people he has named to know. His wishes come first, and he can speak to them himself.

Wills and trusts

A will is among the papers to locate at this step. The public sources behind this guide name wills without explaining them, so this guide doesn't explain them either. What it can pass on is AARP's suggestion that a will be reviewed every few years or during major life changes, so that it reflects the person's wishes. [5]

A revocable living trust is a legal document. The Consumer Financial Protection Bureau says it gives a trustee authority to make decisions about the money or property in the trust if the person who made it can't make decisions themselves, and specifies who gets what is in the trust after the person dies. A trustee can manage only the money or property in the trust, not the person's other assets. [4]

The bureau's guide for trustees adds that other types of trusts exist and that people have different reasons for making them. Medicaid's federal eligibility page says that what is in a trust can, in some cases, be considered when Medicaid eligibility is determined. Whether and how that applies to any one trust depends on the trust, the state and the situation, and it is a question for an elder law attorney. [6] [7]

- Write down: whether Dad has a will or a trust, the date on each, who is named as trustee, successor trustee and beneficiary, and what has changed in the family since.
- Ask an elder law attorney: to review any existing trust for potential Medicaid implications. The family lists the trusts. The attorney reads them.

Property and how things are owned

The papers aren't only the ones Dad signed in an attorney's office. Deeds, the way accounts are titled and the forms that name a beneficiary are part of the picture, and the Medicaid Planning Roadmap lists them among the things to locate and review at this step.

The public sources say little about deeds, or about arrangements such as a life estate, so this guide leaves those words for an attorney to explain. One thing they do describe is a joint account: the money is jointly owned, and the joint account holder automatically gets the money when the other owner dies. [4]

On changing any of it, the Consumer Financial Protection Bureau's guide for agents is plain. It says to get legal advice before making any change to a joint account and, because Medicaid is complicated, to get legal advice and be very careful about decisions that may affect eligibility. [2]

- Write down: how each major thing is owned as far as you know (the names on the deed, on each account and on each beneficiary form), and mark anything you haven't confirmed.
- Ask an elder law attorney: about any change someone has proposed, as a question, before anything is signed or retitled.

What this means for your family

- Each kind of paper becomes a line on a list: whether Dad has one, when it was signed, who it names and where it is.
- Your part is to copy down and to ask. Whether a paper is valid, enough or up to date is an attorney's call.
- Dad is part of every conversation. They are his papers and his wishes.
- Legal questions go to an elder law attorney. How the papers fit into planning to pay for care goes to your Medicaid planner. How any of it is treated depends on the state and the situation.

What this guide doesn't do

It doesn't interpret any of Dad's documents, say whether one is valid or enough, state the rule in any state, or recommend any legal tool. It isn't legal, financial or tax advice. The definitions come from the sources below. The suggestions about what to write down and who to ask are ours.

Ready for the next step?

You can now tell one kind of paper from another and say what you'd ask about each. The planning interview looks at the wider picture: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care, including one with an elder law attorney.

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WHERE THIS COMES FROM

1. Consumer Financial Protection Bureau, What is a power of attorney (POA)?
2. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
3. MedlinePlus (National Library of Medicine), Advance Directives
4. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options
5. AARP, A Legal Checklist for Family Caregivers
6. Consumer Financial Protection Bureau, Managing someone else's money: Help for trustees under a revocable living trust
7. Centers for Medicare & Medicaid Services (Medicaid.gov), Eligibility Policy